



U.S. Customs and Border Protection

PUBLIC VERSION DOCUMENT

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Re: EAPA Case No. 8042 - Notice of Determination as to Evasion

To Counsel or Representative for the above-referenced Entities:

Pursuant to an examination of the record in Enforce and Protect Act (EAPA) Case 8042, U.S. Customs and Border Protection (CBP) has determined there is substantial evidence that Allied Food Products, Inc. (Allied Food) evaded the antidumping duty (AD) order A-570-985 (the *Order*) on xanthan gum from the People's Republic of China (China).¹ CBP determined there is substantial evidence that Allied Food entered covered merchandise for consumption into the customs territory of the United States through evasion by importing into the United States Chinese-origin xanthan gum that had been transshipped through India. As a result, no cash deposits were applied to the merchandise at the time of entry. The basis for CBP's determination is explained below.

Background

Allegation and Initiation

CP Kelco U.S., Inc. (CP Kelco) alleged that Allied Food entered into the United States Chinese-origin xanthan gum transshipped through India by Swastik Gum Industries (India) (Swastik Gum) that is subject to the *Order* without declaring it was subject to the *Order* or paying the required AD cash deposits. On November 14, 2024, the Trade Remedy Law Enforcement

¹ See *Xanthan Gum from the People's Republic of China: Amended Final Determination of Sales at Less Than Fair Value and Antidumping Duty Order*, 78 FR 43143 (U.S. Department of Commerce, July 19, 2013) (*Order*).

Directorate, within CBP's Office of Trade, initiated an investigation under EAPA against Allied Food after finding that the Allegation and information available to CBP reasonably suggested evasion.² The information submitted by CP Kelco supporting its allegation of evasion by Allied Food is summarized below.

CP Kelco submitted commercial trade data indicating that Allied Food may have entered into the United States xanthan gum and declared India as its country of origin, as described below. CP Kelco provided monthly U.S. import data for 2024 (January through March) from U.S. International Trade Commission (USITC) DataWeb for Harmonized Tariff Schedule of the United States (HTSUS) subheading 3913.90.2015, covering xanthan gum,³ and maritime import data from Descartes Datamyne listing Allied Food as the consignee for xanthan gum from India entering the United States.⁴ Specifically, U.S. import data for YTD 2024, as of March 2024, for 3913.90.2015, the HTS subheading for xanthan gum, reported quantities of xanthan gum from India totaling 10,075 kg.⁵ The Allegation further provided secondary import data detailing the same volume of xanthan gum from India for Allied Food from Swastik Gum.⁶ A xanthan gum shipment weighing 10,070 kg left the Port of Hong Kong, China and arrived at the Port of New York/Newark on March 12, 2024.⁷ CP Kelco noted that the Descartes Datamyne listing for Allied Food was consistent, with regard to timing and quantities, with corresponding USITC DataWeb monthly import data.⁸ These data support CP Kelco's contention that Allied Food imported xanthan gum from India.

CP Kelco submitted information demonstrating that there likely is no production of xanthan gum in India. CP Kelco provided an affidavit from Mr. Shaw Gilmer, Senior Director of Operations for the Biogum Strategic Platforms at CP Kelco, and the USITC's 2024 report on xanthan gum from China, both of which asserted that xanthan gum is only produced in four countries worldwide: Austria, China, France, and the United States.⁹

In addition, CP Kelco provided information indicating it is reasonable to conclude the merchandise in question originated in China, rather than other countries known to have production of xanthan gum. CP Kelco provided Global Trade Atlas India import data for Indian tariff subheading 3913.90.90, covering xanthan gum and other natural and modified natural polymers, and argues these data show that China accounted for 82.92% of total imports by volume in April 2023 – February 2024 of products covered by this subheading, while imports from Austria, France, and the United States accounted for 0.10%, 1.75%, and 3.48%,

² See Letter from CP Kelco, "Xanthan Gum from the People's Republic of China – Allegation of Evasion of Antidumping Order via Transshipment through India against Allied Food Products, Inc and Swastik Gum Industries (India)," dated May 20, 2024 (Allegation). See also See CBP Memorandum, "Initiation of Investigation for EAPA Case Number 8042," dated November 14, 2024 (Initiation Memo).

³ See Allegation at 6 and Attachment 7.

⁴ *Id.* at 6 and Attachment 8.

⁵ *Id.* at Attachment 7, ITC DataWeb, U.S. Imports for Consumption, Monthly Data (2024 YTD).

⁶ *Id.* at Attachment 8, Descartes Datamyne, USA Bills Import: 03/01/2024 to 03/31/2024.

⁷ *Id.*

⁸ *Id.* at Attachments 7 and 8.

⁹ *Id.* at 8 – 9 and Attachments 2 and 16.

respectively, of total imports into India.¹⁰ CP Kelco maintained that the significant volume of imports from China provides further support that Chinese-origin xanthan gum likely was transshipped through India to the United States.¹¹

CBP found that there was reasonable suspicion that Allied Food entered merchandise covered by the *Order* during the EAPA period of investigation by transshipment through India and, for those entries, did not pay the AD duties/deposits required by the *Order*.¹² Consequently, CBP imposed interim measures pursuant to the investigation.

Notice of Initiation of Investigation and Interim Measures

On November 20, 2024, CBP issued CF-28s for Entry [number]1139 and Entry [number]0861, requesting information and documentation pertaining to sales, such as purchase orders, invoices, and proof of payments, as well as factory production records.¹³

On November 22, 2024, Allied Food signed and returned the CF-28 for Entry 1139 without providing any of the requested information.¹⁴ CBP clarified that both CF-28s had several questions and documentation that required a response and provided Allied Food with additional time to respond to the CF-28s until January 21, 2025.¹⁵ On January 23, 2025, the broker reported that Allied Food did not have all the information requested in the CF-28s, but indicated that some documentation would be provided.¹⁶ After the due date, on January 27, 2025, Allied Food submitted responses for Entry 1139 and Entry 0861.¹⁷

Entry 1139

The bills of lading submitted indicated Entry 1139 was distributed by [company name], and the manufacturer was [company name] (Supplier 1).¹⁸ The Allegation and information available to CBP that Swastik Gum Industries (India) (Swastik Gum) is the manufacturer, contradicts the CF-28 response provided by Allied Food.¹⁹ Photographs were submitted of the [company name] labeling on the packaging.²⁰ The manufacturing date [month and year] and the expiration date [month and year] on the label do not correspond with

¹⁰ *Id.* at 9 and Attachment 17.

¹¹ *Id.*

¹² See Receipt Report, dated March 6, 2024.

¹³ See CF-28s issued to Allied Food.

¹⁴ See Allied Food's Email, "Copy of Form 28 for Entry1139," dated November 22, 2024, which contains a signed CF28, but no response to any of the questions contained therein.

¹⁵ See CBP's Email, "Copy of Form 28 for [number]1139 and [number]0861," dated December 20, 2024, January 7, 2025, and January 10, 2025.

¹⁶ See the Broker's Email, "Copy of Form 28 for [number]1139 and [number]0861," dated January 23, 2025.

¹⁷ See Allied Food's Response to CF-28 Request for Information, Entries [number]1139 and [number]0861, dated January 27, 2025 (Entry 1139 CF 28 Response and Entry 0861 CF 28 Response).

¹⁸ See Entry 1139 CF 28 Response.

¹⁹ *Id.*

²⁰ *Id.*

the submitted Analysis Report,²¹ which indicated a production date of [month and year] with a shelf life of [#] months.²² Further, the identifying numbers of the xanthan gum were inconsistent on the label as well. The label describes the merchandise as lot [number] and the Analysis Report and packing list refer to the xanthan gum as batch [number].²³ Thus, the limited sales documentation provided by Allied Food does not appear to correspond to Entry 1139.

In addition, the CF-28 response does not include a purchase order, or proof of wire transfers that tie any invoices to a manufacturer, as requested. Allied Food submitted two proofs of payment for its purchase of xanthan gum from Swastik Gum, one dated [date], for [#] USD, and the other dated [date], for [#] USD.²⁴ The entry summary CBP form 7501 describes two lines of merchandise associated with Entry 1139.²⁵ The merchandise for line one was identified as [description of item] with an entered value of [#] USD and the second line, for xanthan gum, had an entered value of [#] USD.²⁶ Neither of these amounts correspond with the payment amounts submitted in the CF-28 response. Furthermore, while the dates of these transactions were [date], and [date], the entry date for both lines was [date]. Thus, it appears that the submitted payment information does not correspond to Entry 1139.

Importantly, the CF-28 response did not include any documents substantiating the purchase of the raw materials nor did it contain any of the requested production records.²⁷ Without this information, CBP cannot rely on Allied Food's documentation to determine where the xanthan gum for this entry was manufactured.

Entry 0861

For Entry 0861, Allied Food submitted an export invoice from Swastik Gum, dated [date], with Allied Food listed as the importer, and two identical certificates of origin designating India as the originating country.²⁸ The CF 28 response for Entry 0861 contained none of the requested receipts, purchase orders, or payment records that tie to the entry.

While Allied Food submitted an Analysis Report from Swastik Gum,²⁹ no production documents were submitted to support the contention the xanthan gum was manufactured in India. Specifically, the CF-28 response for Entry 0861 did not include any documents substantiating the purchase of the raw materials nor did it contain any of the requested production records.

²¹ The Analysis Report provides product descriptions with batch numbers and invoicing information. It also reports a product's manufacturing and expiration dates. Analysis of the test parameters with results requirements are categorized based on the chemical composition of the product tested.

²² *Id.*

²³ *Id.*

²⁴ *Id.*

²⁵ *Id.*

²⁶ *Id.*

²⁷ See CF-28 issued to Allied Food.

²⁸ See Entry 0861 CF 28 Response.

²⁹ *Id.*

Without this information, the CF-28 response submitted by Allied Food does not allow CBP to determine that India is the country of origin of Entry 0861.

Other Indicia of Evasion

Record information indicates that Swastik Gum sources its xanthan gum from China.³⁰ Swastik Gum's advertisements on Indiamart contain various references to xanthan gum products sold by Swastik Gum.³¹ Moreover, the photos and product details indicate Swastik Gum sells food grade xanthan gum from Chinese xanthan gum producer Meihua Holding Group Co., Ltd. (Meihua).³² Meihua, according to its website, was established in 2002 and is currently one of the world's largest suppliers of xanthan gum.³³

In EAPA Investigation 7835, CBP found that there was reasonable suspicion that Swastik Gum, along with several other related Indian companies, sourced xanthan gum from Chinese manufacturers that was subsequently transshipped of Chinese-origin gum through India.³⁴ We note this finding was made during the period of investigation of the instant investigation.

Based on the evidence, CBP found there was reasonable suspicion that the xanthan gum entered into the United States by Allied Food during the period of investigation originated in China, and therefore, such merchandise was entered in evasion of the *Order*.³⁵ As such, CBP imposed interim measures pursuant to this investigation.³⁶

Post-Interim Measures

Requests for Information

On February 28, 2025, CBP issued a request for information (RFI) to Allied Food in relation to its U.S. entries of xanthan gum.³⁷ Although Allied Food indicated it would like more time to

³⁰ See CBP's Memo, "EAPA Case No. 8042 – Information from Companies' Websites," dated November 7, 2024; and Memo to the File, "EAPA Case No. 8042 – Information from Companies' Websites," dated February 5, 2025.

³¹ See CBP's Memo "EAPA Case No. 8042 – Information from Companies' Websites," dated November 7, 2024, for Indiamart and for Swastik Gum at [[website information](#)].

³² *Id.*

³³ See CBP's Memo, "EAPA Case No. 8042 – Information from Companies' Websites," dated November 7, 2024, for Meihua Group.

³⁴ See CBP's Memorandum, "EAPA Case No. 7835 – Notice of Determination as to Evasion," dated December 9, 2024, at 13-14.

³⁵ See "Notice of Initiation of Investigation and Interim Measures: EAPA Case 8042," dated February 20, 2025 (NOI), at 5.

³⁶ *Id.* at 5-6.

³⁷ See "EAPA 8042 - Request for Information," dated February 28, 2025.

respond to the RFI,³⁸ it instead submitted what they termed as a “prior disclosure” to CBP, placing it on the record of this investigation.³⁹ The submission stated:

Allied Food has been unable to substantiate the country of origin of India as declared at the time of entry. Furthermore, Allied Food has recently received information that the country of origin of the imported xanthan gum was most likely the People’s Republic of China. Accordingly, Allied Food should have deposited antidumping duties with U.S. Customs & Border Protection (CBP) under the Antidumping Duty Order on Xanthan Gum from the People's Republic of China (Case No. A-570-985-000).⁴⁰

Given that Allied Food did not respond to the RFI, on April 2, 2025, CBP provided Allied Food with a second opportunity to respond to the RFI, with a new deadline of April 14, 2025,⁴¹ but received no response. On May 2, 2025, CBP provided Allied Food with a third and final opportunity to respond to the RFI, with a new deadline of May 19, 2025,⁴² but received no response.

On February 28, 2025, CBP issued an RFI to Swastik Gum, Allied Food’s Indian supplier of xanthan gum.⁴³ Swastik Gum failed to respond by the March 28, 2025, deadline. On April 2, 2025, CBP again requested a response to the RFI, with a new deadline of April 14, 2025,⁴⁴ but received no response. On April 16, 2025, CBP provided Swastik Gum with a third and final opportunity to respond to the RFI, with a new deadline of April 30, 2025,⁴⁵ but received no response.

On April 2, 2025, CBP issued an RFI to Supplier 1, and Supplier 1 responded on May 8, 2025.⁴⁶

³⁸ At several points during this investigation CBP directed Allied Food to register for an account on EAPA’s Case Management System (CMS). Allied Food did not register for a CMS account as it was directed to multiple times in this investigation, but instead emailed CBP personnel to request additional time to respond, rather than placing the request on the record of the investigation. Allied Food was directed to register for a CMS account on: February 12, 2025, when all parties to the investigation received notice of the investigation; February 28, 2025, when CBP issued the RFI; March 7, 2025, and March 21, 2025, when CBP requested bracketing comments on Allied Food’s CF28 responses; as well as April 16, 2024, and May 2, 2025, when CBP provided Allied Food additional opportunities to respond to the RFI. We also note that neither Allied Food nor its purported counsel submitted the required entry of appearance. See APO Handbook at 5, found at <https://www.cbp.gov/document/user-documentation/administrative-protective-order-apo-handbook>.

³⁹ See Allied Food’s Letter, “Voluntary Prior Disclosure – Antidumping,” dated April 30, 2025, and accompanying emails between Allied Food, its broker and counsel.

⁴⁰ *Id.* at 1.

⁴¹ See CBP’s Email to Allied Food, “EAPA 8042 Request for Information - Second Request,” dated April 16, 2025.

⁴² See CBP’s Email to Allied Food, “EAPA 8042 Request for Information - Third Request,” dated May 2, 2025.

⁴³ See CBP’s Email to Swastik Gum, “EAPA 8042 - Request for Information,” dated February 28, 2025.

⁴⁴ See CBP’s Email to Swastik Gum, “EAPA 8042 - Request for Information – Second Request,” dated April 2, 2025.

⁴⁵ See CBP’s Email to Swastik Gum, “EAPA 8042 Request for Information - Third Request,” dated April 16, 2025.

⁴⁶ See CBP’s Email to Supplier 1, “EAPA 8042 Request for Information,” dated April 2, 2025; Submission from Supplier 1, dated May 8, 2025.

Written Arguments

Neither party to the investigation submitted written arguments.

Analysis

Pursuant to 19 U.S.C. § 1517(c)(3) and 19 C.F.R. § 165.6, CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with an RFI made by CBP. In applying an adverse inference against an eligible party, CBP may use the facts otherwise available to make a final determination as to evasion pursuant to 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. § 165.27. Moreover, an adverse inference may be used with respect to importers, foreign producers, and foreign exporters “without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought...”⁴⁷

Because Allied Food and Swastik Gum never responded to CBP’s RFI, despite being given multiple opportunities to submit such a response, CBP’s ability to obtain information for its investigation was impeded significantly. EAPA regulations at 19 C.F.R. § 165.6(a) state that if “the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a {RFI} made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion...”⁴⁸ Because Allied Food and Swastik Gum failed to respond to CBP’s RFIs in the multiple instances described above, CBP finds that Allied Food and Swastik Gum have not cooperated and complied with CBP’s RFIs to the best of their abilities.

The evidence on the administrative record amounts to substantial evidence of evasion, as Allied Food and Swastik Gum provided no clarification or rebuttal of that evidence though given multiple opportunities to participate in the investigation process. As discussed below, CBP is drawing inferences adverse to Allied Food and Swastik Gum from the information submitted to CBP in the Allegation and other information obtained during CBP’s investigation to conclude that the xanthan gum was of Chinese origin.⁴⁹ Based on the record of this investigation, it is reasonable to conclude that the xanthan gum imported by Allied Food originated in China. As noted above, China is one of only four countries in which it is known that xanthan gum is produced commercially, and available trade data indicate that almost all of the xanthan gum imported into India during a significant portion of the period of investigation was exported from China.⁵⁰ Record information indicates Swastik Gum sources xanthan gum from China and has been found in other EAPA investigations to have engaged in a duty evasion scheme involving

⁴⁷ See 19 C.F.R. § 165.6(a); 19 U.S.C. § 1517(c)(3)(B).

⁴⁸ See also 19 U.S.C. § 1517(c)(3)(A).

⁴⁹ See 19 U.S.C. § 1517(c)(3)(B) -(C); see also 19 C.F.R. § 165.6(c); see also Initiation Memo and NOI.

⁵⁰ See Allegation at 8-9 and Attachments 2 and 16.

Chinese-origin xanthan gum.⁵¹ Moreover, Allied Food admitted to CBP that its entries of xanthan gum were of Chinese origin and that it should have paid AD/CVD duties, but did not pay AD/CVD duties.⁵²

Under 19 U.S.C. § 1517(c)(1)(A), to reach a final determination as to evasion, CBP must “make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion.” Evasion is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security of any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.”⁵³ As discussed in this determination and in the NOI,⁵⁴ the record of this investigation contains evidence that xanthan gum subject to the *Order* was entered by Allied Food into the United States through evasion, resulting in the avoidance of applicable AD cash deposits or other security. Based on that evidence, and the application of adverse inferences as a result of Allied Food’s and Swastik Gum’s failure to cooperate in the investigation, CBP concludes there is substantial evidence of evasion.

Determination as to Evasion

Based on the totality of information contained in the administrative record, as referenced in the NOI, Allied Food’s and Swastik Gum’s subsequent failure to respond to the RFIs, and Allied Food’s admission that it should have paid AD/CVD duties on its entries of xanthan gum, CBP determines there is substantial evidence that Allied Food evaded the *Order* by importing xanthan gum of Chinese origin into the United States by declaring the covered merchandise as type 01 consumption entries and at that time failing to pay the required AD/CVD cash deposits on such subject merchandise.⁵⁵

Actions Taken Pursuant to the Affirmative Determination as to Evasion

In consideration of CBP’s determination that substantial evidence demonstrates that Allied Food entered covered merchandise into the customs territory of the United States through evasion, and pursuant to 19 U.S.C. § 1517(d) and 19 C.F.R. § 165.28, CBP will suspend or continue to suspend the entries covered by this investigation, until instructed to liquidate. For those entries previously extended in accordance with Interim Measures, CBP will continue to consider those entries as type 03 and continue suspension until instructed to liquidate these entries. CBP may

⁵¹ See CBP’s Memorandum, “EAPA Case No. 7835 – Notice of Determination as to Evasion,” dated December 9, 2024, at 13-14.

⁵² See Allied Food’s Letter, “Voluntary Prior Disclosure – Antidumping,” dated April 30, 2025, and accompanying emails between Allied Food, its broker and counsel.

⁵³ See 19 C.F.R. § 165.1; *see also* 19 U.S.C. § 1517(a)(5)(A).

⁵⁴ See NOI at 2-3 and 5-10.

⁵⁵ Entry type “01” is the code that CBP requires importers use to designate a standard consumption entry that is not subject to AD/CVD duties. *See* <https://www.cbp.gov/trade/automated/ace-transaction-details>.

also evaluate Allied Food's continuous bond in accordance with CBP's policies. None of the above actions precludes CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,



Victoria Cho
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade